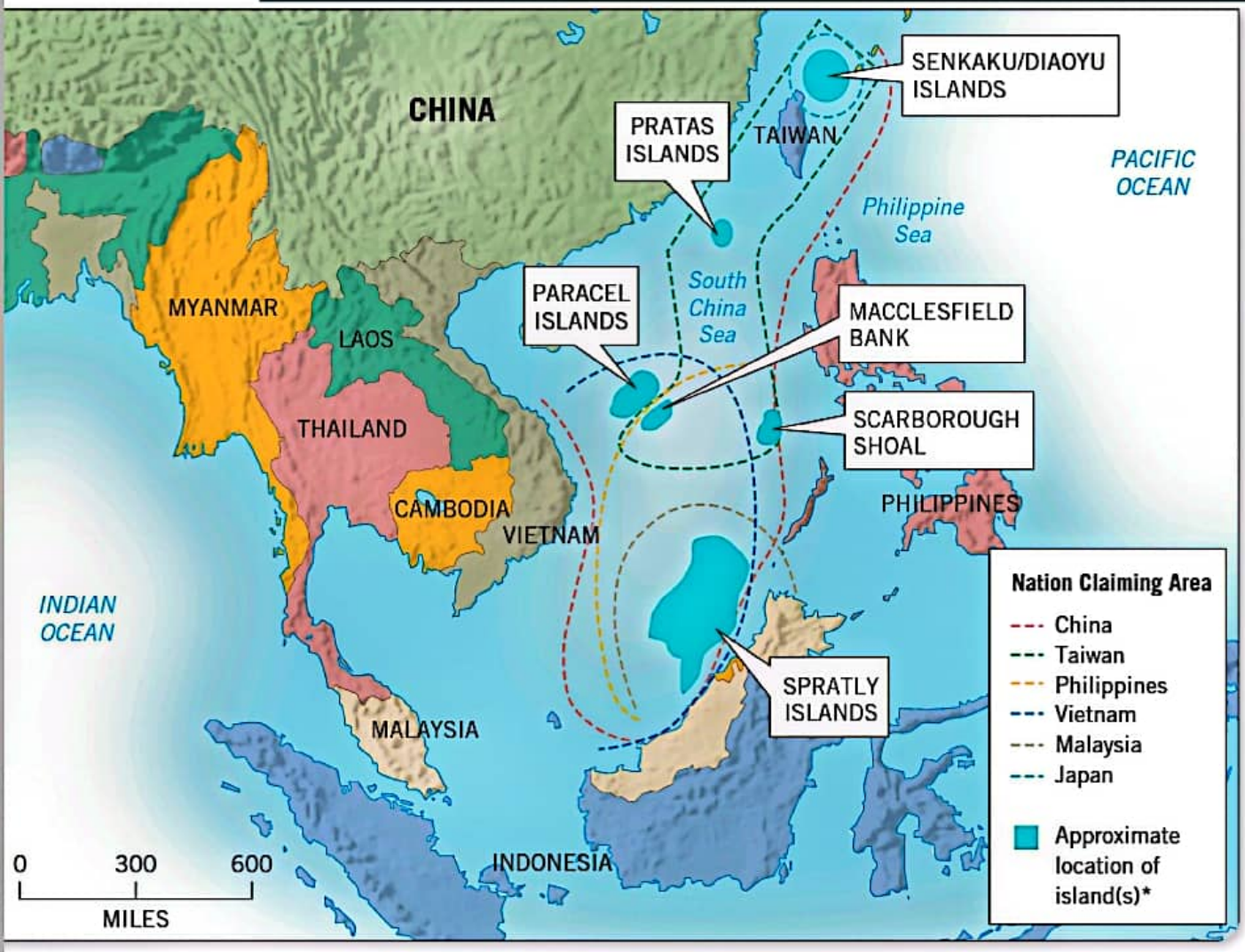
3 Legal, Technological, and Political Environments



LEARNING OBJECTIVES

3.1. Describe the major types of legal systems confronting international businesses.

3.2. Describe the impact of the host country's technological environment on international business.

3.3. Explain how firms can protect themselves from political risk.

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Taiwan; they disagree, of course, whether Taiwan is an independent nation, a territory of the People's Republic of China, or the sovereign of mainland China. Conversely, Japan believes that the Pinnacles are an extension of the Ryukyu Islands, which is an integral component of Japan.

Although technically located in the East China Sea, rather than the South China Sea, the problems surrounding the Pinnacles are similar to those involving the Paracel and the Spratly groups, except that they are more intense and more dangerous. Both Chinese and Japanese politicians have used the Pinnacle dispute to promote their domestic political agendas. One contretemps began in September 2012, when Japan's prime minister nationalized three of the islands for domestic political reasons. The Chinese media denounced the move as an insult to China's dignity. Beijing refused to send its officials to International Monetary Fund (IMF) and World Bank meetings in Tokyo. Anti-Japanese riots quickly spread throughout China, causing damage to Japanese-owned property. For instance, Japanese retailer Aeon's store in Qingdao suffered $9 million in damages. Chinese consumers also boycotted Japanese goods, particularly Japanese automobiles. Toyota's September sales in China dropped by nearly a half, while those of Honda, Nissan, and Mazda fell by a third. Chinese businesspersons and tourists cancelled visits and vacations in Japan, hurting Japanese airlines and hotels. Nippon Airlines suffered 46,000 seat cancellations, costing an estimated 10 billion yen in lost sales. Chinese factories shifted their orders for component parts from Japanese companies to their South Korean competitors. Japan's GDP is estimated to have shrunk by 0.5 percent as a result of the boycotts.

China's response was not limited to economic boycotts. The Chinese government intensified its presence in the waters surrounding the Pinnacle Islands, thereby reasserting its claims to the islands. In response, Japan boosted its military budget and increased naval patrols around the Pinnacles. Chinese fishing boats in the area alleged harassment by the Japanese Coast Guard. Japan claimed that a Chinese frigate locked its fire-control radar on a Japanese destroyer, which is a first step in exchanging fire. The conflict then turned rhetorical: the *China Daily* declared that Japan is a "real danger and threat to the world." Japanese Prime Minister Shinzō Abe denounced China's actions as "a unilateral, provocative act and extremely regrettable." Meanwhile, the U.S. Navy has been routinely sailing near these islands, its way of rejecting China's territorial claims on these specks of land and asserting its rights to navigate in what it believes to be international waters.

The danger and threat to the world and the world economy will indeed be significant if cooler heads fail to prevail. The economic damage to the carefully calibrated supply chains created by multinational corporations would be significant, as would the damage to the Chinese economy, one of the main engines of world economic growth. About 1.5 million Chinese workers are employed in 4,600 Japanese-controlled factories. Should the Chinese market turn hostile to them, Japanese investors could redirect their investments to other parts of Asia, such as Vietnam or the Philippines. Moreover, the United States and Japan have a mutual defense treaty, which would escalate the significance of any armed conflict between China and Japan.[1]

Virtually all decisions facing international managers—whom to hire, how to market their company's goods in the host market, which technologies to adopt, and so forth—are affected by the national environment of the country in which the transaction occurs, as Toyota painfully discovered. The goal of this and the next chapter is to understand the impact of the various dimensions of a country's environment on the management of a firm's international business. This chapter discusses the legal, technological, and political dimensions, and Chapter 4 focuses on the cultural.

The Legal Environment

3.1. Describe the major types of legal systems confronting international businesses.

A domestic firm must follow the laws and customs of its home country. An international business faces a more complex task: It must obey the laws not only of its home country but also the laws of all the host countries in which it operates. Both home and host country laws can critically affect the way international firms conduct their business. These laws determine the markets firms may serve, the prices they can charge for their goods, and the cost of necessary inputs such as labor, raw materials, and technology. The laws may also affect the location of economic activity. For instance, firms are often hesitant to locate facilities incorporating advanced technology in countries with weak intellectual property protection. "E-World" discusses the growing concerns surrounding consumer cyber privacy and the very different approaches nations are taking to address them.

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E-WORLD

CYBER PRIVACY

The Internet by its very nature transcends national boundaries. Yet national governments have very different policies when it comes to the privacy rights of their citizens. With its tradition of free speech and belief in free markets, the United States has generally adopted a laissez-faire approach to Internet content. Such is not the case in Europe, where the memories of the abuses of the Gestapo in Nazi Germany and the territories it occupied in World War II are still fresh and raw.

In many ways, the European Union has been the pacesetter in establishing and protecting personal cyber privacy. In 2018, the EU's General Data Protection Regulation (GDPR) took effect. The GDPR regulates the collection, storing, and usage of personal data of EU residents by both EU and non-EU companies, regardless of where the data activity took place. The GDPR covers personal information like names and addresses, photos, financial and medical records, social media postings—even computer IP addresses. Failure to comply may expose firms to fines of as much as 4 percent of their worldwide revenues.

Under the provisions of GDPR, EU residents are granted a "right of access": web services are required to explain to any EU resident how they collect and process personal data. Companies may not process personal data unless there is a lawful basis for doing so, which are described in the regulation. The GDPR also embodies "the right of erasure," in which consumers may request the deletion of personal data from a website. Moreover, firms suffering a data breach must notify the authorities within 72 hours of learning about the breach.

The European Union is also concerned about policing content on the Internet. As of January 1, 2018, web platforms with more than two million users are responsible for policing content on their platforms. They may face fines of up to 50 million euros if they fail to delete illegal content, such as slander, libel, calls to violence, and neo-Nazi propaganda. The EU has imposed a one-hour time limit on the removal of such content once a law enforcement agency notifies the web provider.

Conversely, in the United States platforms are not legally liable for user content. However, major social media companies like Facebook, Twitter, and YouTube are coming under increasing public pressure to monitor and delete objectionable materials and increase consumers' cyber privacy due to news reports of Russian interference in the 2016 election, the proliferation of "fake news" on the Internet, the growth of "clickbait" sites, and the public backlash from the Cambridge Analytica scandal, in which the profiles and postings of 87 million Facebook members were used without their knowledge to assist a presidential campaign. Facebook alone gets one million user reports of objectionable content per day. Needless to say, the leading social media companies face major challenges in complying with the new EU regulations and in placating the concerns of American consumers.

Sources: Based on "Facebook's Lax Data Policies Led to Cambridge Analytica Crisis," *Wall Street Journal*, March 20, 2018; "Facebook's Identity Crisis Looms," *Wall Street Journal*, March 20, 2018; "Facebook, Google Get One Hour From EU to Scrub Terror Content," *Wall Street Journal*, March 1, 2018; "Tech Giants Brace for Europe's New Data Privacy Laws," *New York Times*, January 28, 2018; "Data Case in U.S. Sparks Concern in Europe," *Wall Street Journal*, January 18, 2018; "Facebook, Google Have a Tough New Job in Germany: Content Cop," *Wall Street Journal*, January 10, 2018; "Europe's privacy laws set to change how personal data is handled around the globe," http://thehill.com/ , December 17, 2017; "EU urges internet companies to do more to remove extremist content," http://www.reuters.com, December 7, 2017; "Global Data Policies Restricting Growth: Report," *Wall Street Journal*, December 6, 2017.

Differences in Legal Systems

National legal systems vary dramatically for historical, cultural, political, and religious reasons. The rule of law, the role of lawyers, the burden of proof, the right to judicial review, and, of course, the laws themselves differ from country to country. In the United States, for instance, in times of economic distress firms can lay off workers with minimal notice and severance pay. In Belgium, however, firms wishing to trim their workforces must provide each worker with "reasonable" advanced notice and/or severance pay. "Reasonable" notice varies according to job status, salary level, and seniority. For instance, for white collar workers with less than three year's seniority, 91 calendar days is deemed to be reasonable; for a colleague with over five years of seniority, the definition changes to 30 days for each year of service. Brink's, for example, ran afoul of these laws when its Belgian subsidiary declared bankruptcy as a result of its high labor costs. Affected unions promptly sued the company for failure to negotiate severance pay, as the law required in such cases. Caterpillar had similar problems in trying to trim its Belgian workforce because high labor costs made its operations there uncompetitive.[2]

Access to the legal system also may vary from country to country. In the United States, for example, easy availability of lawyers and nondiscriminatory access to its legal system are helpful to international businesses wishing to settle disputes with suppliers and customers. Conversely, the Indian court system has an estimated backlog of 30 million cases, so many attorneys advise their business clients to settle conflicts out of court rather than wait as long as 10 years to be heard in a court of law (see Map 3.1).[3]

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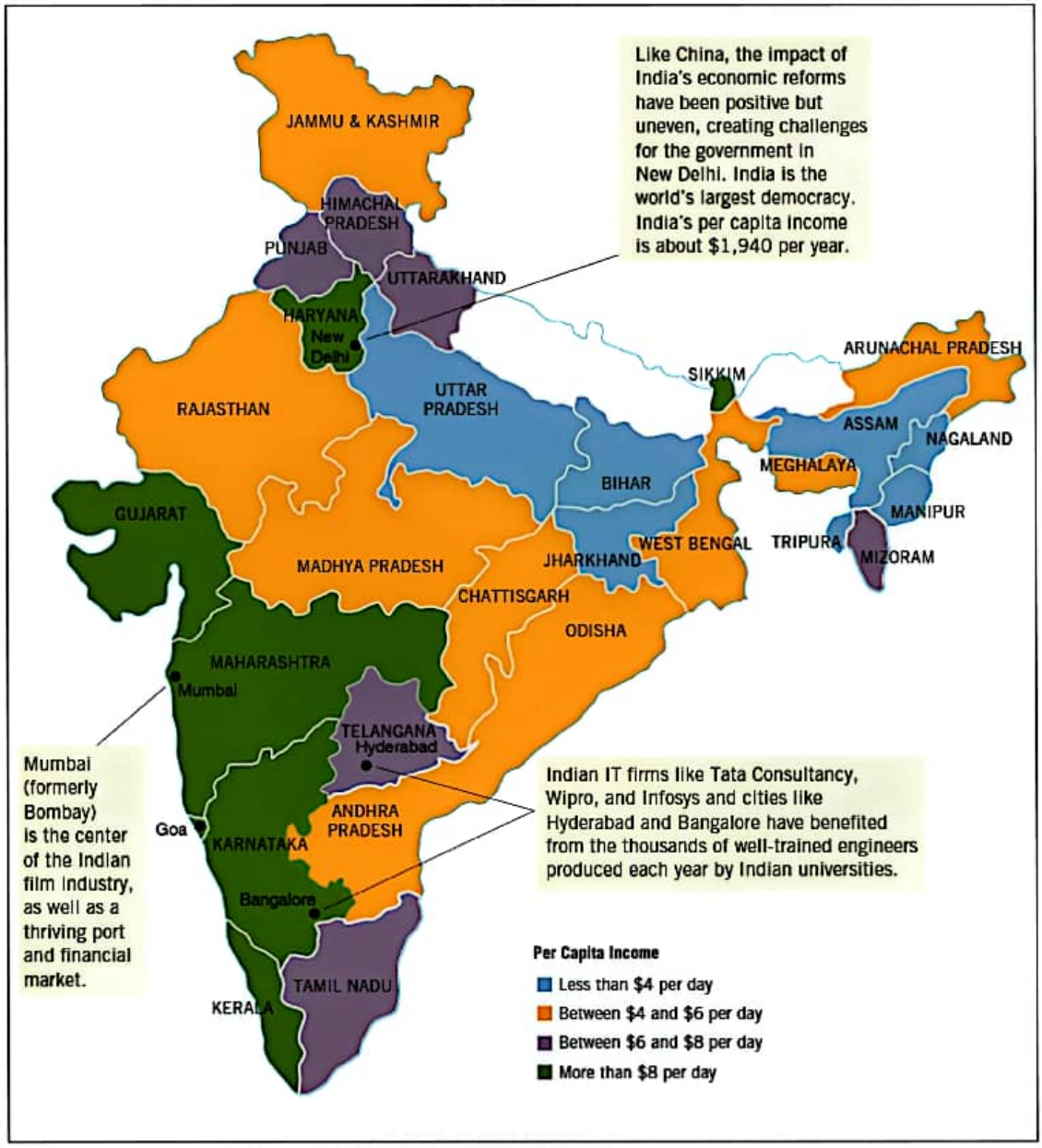
MAP 3.1
India



COMMON LAW Common law is the foundation of the legal systems in the United Kingdom and its former colonies, including the United States, Canada, Australia, India, New Zealand, Hong Kong, Barbados, Saint Kitts and Nevis, and Malaysia. **Common law** is based on the cumulative wisdom of judges' decisions on individual cases through history. These cases create legal precedents, which other judges use to decide similar cases.

Common law has evolved differently in each common law country. Thus, laws affecting business practices vary somewhat among these countries, creating potential problems for the uninformed international businessperson. For example, manufacturers of defective products are more vulnerable to lawsuits in the United States than in the United Kingdom as a result of evolutionary differences in the two countries' case law. The UK's libel laws are more plaintiff-friendly than U.S. law. In the United Kingdom, the defendant must prove that a published article is true, whereas in the United States the burden is on the plaintiff to demonstrate that the article is false and malicious to win a libel suit.[4]

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Brink's ran afoul of Belgium's labor laws after firing or reassigning 60 workers from its money-losing Belgium subsidiary in a cost-cutting move. After workers went on strike in protest, Brink's chose to declare bankruptcy rather than negotiate. Brink's faced a drawn-out court battle, for workers' rights are more strongly protected in Belgium than they are in Brink's home, the United States.

In addition to evolutionary differences in case law, **statutory laws**—those enacted by legislative action—also vary among the common law countries. For example, many business transactions between firms and the British government are shielded from public scrutiny—and the prying eyes of competitors—by Britain's Official Secrets Act. In contrast, more information about transactions between firms and the U.S. federal government is publicly available because of the U.S. Freedom of Information Act. Even the administration of law may vary. For instance, in the United States the plaintiff and the defendant in a lawsuit generally pay their own legal fees. Often, defendants agree to quick settlements regardless of the strength of their cases to avoid expensive litigation. In the United Kingdom, the losers in trials pay the legal expenses of both parties. Thus, the British have less incentive to file frivolous lawsuits.

CIVIL LAW Another common form of legal system, **civil law**, is based on a codification, or detailed listing, of what is and is not permissible. The civil law system originated in biblical times with the Romans, who spread it throughout the Western world. Its dominance was reinforced by the imposition of the civil law-based Napoleonic Code on territories conquered by French emperor Napoleon Bonaparte during the early nineteenth century.

One important difference between common law and civil law systems is apparent in the roles of judges and lawyers. In a common law system, the judge serves as a neutral referee, ruling on various motions by the opposing parties' lawyers. These lawyers are responsible for developing their clients' cases and choosing which evidence to submit on their clients' behalf. In a civil law system, the judge takes on many of the tasks of the lawyers, determining, for example, the scope of evidence to be collected and presented to the court.

RELIGIOUS LAW **Religious law** is based on the officially established rules governing the faith and practice of a particular religion. A country that applies religious law to civil and criminal conduct is called a **theocracy**. In Iran, for example, a group of *mullahs*, or holy men, determine legality or illegality through their interpretation of the *Koran*, the holy book of Islam.

Religious laws can create interesting problems for firms. Consider the teaching of the *Koran*, which denounces charging interest on loans as an unfair exploitation of the poor. Muslim firms and financial institutions have had to develop alternative financing arrangements to acquire and finance capital. Muslim businesses often rely on leasing arrangements, rather than borrowing money, to obtain long-term assets. In Iran, banks often charge up-front fees that act as a substitute for loan interest payments, and owners of bank deposits receive shares of the bank's profits rather than interest payments. Family-owned firms are often influential in countries in which legal systems are based on the *Koran* because members of an owner's extended family may be the best available source of capital, given the costs of circumventing the prohibition on interest.

Countries relying on religious law often have other features, such as an absence of or differences in due process and appeals procedures, which should make outsiders cautious. In Saudi Arabia, for example, foreign firms are encouraged to have a local representative or sponsor, typically a government agency or a person well connected to the royal family. Should a commercial dispute arise between a foreign businessperson and the local representative, the foreign businessperson may be at a disadvantage unless the foreigner has the benefit of a legally binding contract drawn up by a local attorney knowledgeable in the complexities of sharia law.

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BUREAUCRATIC LAW The legal system in communist countries and in dictatorships is often described as bureaucratic law. **Bureaucratic law** is whatever the country's bureaucrats say it is, regardless of the formal law of the land. Contracts can be made or broken at the whim of those in power. The collapse of Zairean dictator Mobutu Sese Seko's government in 1997, for example, threatened the viability of all existing contracts signed by foreign companies and triggered a mad scramble to revalidate old contracts and negotiate new ones with the government of his successor.[5] Protections that may appear in the country's constitution—such as the right to an attorney and the right to hear witnesses against one—may be ignored if government officials find them inconvenient. For instance, the formalities of Ugandan law afforded Ugandans and foreigners little protection under dictator Idi Amin's regime of terror during the 1970s. Similarly, the elaborate protections detailed in the constitution of the former Soviet Union offered little solace to the victims of Joseph Stalin's political purges during the 1930s. "Venturing Abroad" discusses a contemporary example of this phenomenon.

VENTURING ABROAD

HOW IMPORTANT IS THE RULE OF LAW?

As the eminent scholar and jurist Richard Posner has defined it, the rule of law means "that judges decide cases 'without respect to persons,' that is, without considering the social status, attractiveness, etc. of the parties or of their lawyers." A well-functioning legal system with clearly defined rules and procedures often encourages foreign firms to invest in a country. Conversely, its absence may discourage such investments.

One country in which a lack of the rule of law appears to be affecting foreign direct investment (FDI) is Russia. Russian authorities are notorious for manipulating the Russian legal system to promote their personal agendas. For example, despite a constitutional guarantee for freedom of assembly, Russian officials arrested Brian Nemtsov, a former deputy prime minister, for attending a rally promoting freedom of assembly on New Year's Eve 2010. According to some human rights activists, the motive for his arrest was simply to demonstrate to political dissidents that the authorities could do what they wish.

Perhaps the most brazen example of the deficiency of the Russian rule of law is the second trial and conviction of former oil magnate Mikhail Khodorkovsky. He was the founder of OAO Yukos, once Russia's largest oil company. Yukos was a creation of the privatization process that followed the collapse of the Soviet Union. The selling off of state-owned assets created much controversy because critics charged that favored insiders benefited from a lack of transparency that characterized this privatization process. Khodorkovsky, once the richest man in the new Russia and the most powerful of the new oligarchs (the term used to describe the business leaders made rich by the privatization process), committed the fatal mistake of making a political enemy of Vladimir Putin, the Russian Federation's second president and its most powerful political force. Khodorkovsky provided financing for political parties not friendly to Putin and argued for a strong, independent media. Khodorkovsky was arrested in 2003, convicted in 2005 of tax evasion, and sentenced to eight years in a Siberian prison. After the conviction, Yukos was forced into bankruptcy. Most of its assets were sold off at bargain basement prices to state-owned companies controlled by political allies of Putin to pay for the alleged unpaid taxes.

As his release date from prison drew nearer, Khodorkovsky and his partner Platon Lebedev were charged with stealing all the oil that Yukos produced. Khodorkovsky was convicted in December 2010 and sentenced to another six years in prison. Many observers viewed this second trial as a clear case of double jeopardy. They also viewed it as logically inconsistent with the charges filed in his first trial. If Khodorkovsky stole the oil, then Yukos would not have had any profits in the first place and thus could not have underpaid its taxes. If Yukos was guilty of tax evasion, then it must have owned the oil and therefore Khodorkovsky could not have stolen it. The suspicion that his original and subsequent arrest were politically motivated was heightened when in February 2011 an assistant to the presiding judge in the second trial claimed that the judge was pressured by his superior to deliver a guilty verdict and a harsh sentence. The Obama administration denounced the verdict as an "abusive use of the legal system for improper ends."

Many Russian citizens viewed Khodorkovsky's first conviction favorably. The oligarchs who rose to prominence in the 1990s after the breakup of the Soviet Union were perceived as benefiting from insider deals as state-owned assets were transferred to the private sector. But in the 2000s, economic power appears to have been transferred from the oligarchs to bureaucrat-entrepreneurs, that is, government officials who used their government positions to enrich themselves and their friends. Administrative power, rather than property rights, became the basis of wealth. The concern is that firms, foreign and domestic, in such an environment will fail to make the long-term investments that are the basis of economic growth in developed economies. Other investors fear that if their investments become too profitable they will attract the attention of state authorities, who will then use their positions to loot those assets: Such a fate befell Hermitage Capital, a foreign-financed firm that at one time was the largest investor in the Russian stock market.

Sources: Based on "In Russia, the Corporate Raiders Are Often Cops," *Wall Street Journal*, August 7, 2018; "Khodorkovsky derides reforms," *Financial Times*, May 25, 2011, p. 2; "Russian tycoon's sentence is upheld," *Wall Street Journal*, May 25, 2011, p. A11; "Sergei Magnitsky and the rule of law in Russia," *Wall Street Journal*, February 24, 2011; Dafna Linzer, "The problem with question 36," *Slate*, February 23, 2011 (online); "Mikhail B. Khodorkovsky," *New York Times*, February 15, 2011 (online); "Opposition battles repression in Russia," *Washington Post*, January 28, 2011; "Doing things the Putin way," *The Economist*, January 1, 2011; "White House criticizes Moscow court," *Wall Street Journal*, December 27, 2010; "The trial, part two," *The Economist*, April 24, 2010.

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In countries relying on bureaucratic law, the ability of an international business to manage its operations is often compromised by bureaucrats. International managers are often confronted with arbitrary rules or decisions that have the force of law. This is often the case in China, for example. One study notes:

> Chinese bureaucracies have sometimes been accused of selectively applying regulations. China has many strict rules that are usually ignored in practice until a person or entity falls out of official favor. Governmental authorities can wield their discretionary power to "crack down" on foreign or disfavored investors or make special demands on such investors simply by threatening to wield such power.[6]

Many international managers have learned the hard way that an unfortunate by-product of bureaucratic law is the lack of consistency, predictability, and appeal procedures.

International businesspeople must be aware of these general differences in legal systems to avoid costly misunderstandings. They should also rely on the expertise of local lawyers in each country in which they operate to help them comply with the specific requirements of local laws and to counsel them on substantive differences in due process, legal liabilities, and procedural safeguards.

Domestically Oriented Laws

The laws of the countries in which an international business operates play a major role in shaping the opportunities available to that firm. Some of these laws are primarily designed to regulate the domestic economic environment. Such laws affect all facets of a firm's domestic operations: managing its workforce (recruitment, compensation, and labor relations laws); financing its operations (securities, banking, and credit laws); marketing its products (advertising, distribution, and consumer protection laws); and developing and using technology (patent, copyright, and trademark laws). Although such laws are primarily focused on the domestic marketplace, they may indirectly affect the ability of domestic firms to compete internationally by increasing their costs, thus reducing their price competitiveness relative to foreign firms. For example, labor costs for manufacturers in Germany, France, and Belgium are among the world's highest as a result of government-mandated benefits packages. These manufacturers, therefore, find that their products are less price competitive in export markets; many of them that compete internationally stress their products' quality rather than their price.

Domestically oriented laws may also inadvertently affect the business practices of foreign firms operating outside the country's borders. Often firms whose products are geared to the export market alter their production techniques to meet the regulations of the importing countries, even though the firms' operations are legal within their home country. For example, Grupo Herdez chose to alter its production processes in Mexico to sell its goods in the U.S. market. Grupo Herdez is one of Mexico's largest producers of *mole* (pronounced mo-lay), a spicy but sweet sauce made from chocolate and chili peppers. The firm's traditional way of preparing the chilies for production—laying them out to dry in the sun for several days—failed to meet hygiene standards of the U.S. Food and Drug Administration (FDA). To receive the necessary FDA approval and benefit from the growing U.S. market for Mexican foods, Grupo Herdez had to develop a new technology that uses electronic dryers to prepare the chilies for mole production.[7]

Laws Directly Affecting International Business Transactions

Other national laws are explicitly designed to regulate international business activities. Such laws are often politically motivated and designed to promote the country's foreign policy or military objectives. A country may attempt to induce a second country to change an undesirable policy by imposing **sanctions**—restraints against commerce with that country. Sanctions may take many forms, such as restricting access to high-technology goods, withdrawing preferential tariff treatment, boycotting the country's goods, and denying new loans. For instance, the European Union, the United States, and other allied countries imposed sanctions on Russia after its seizure of the Crimea and incursions into eastern Ukraine in 2014. Similarly, the United Nations imposed financial sanctions against Sierra Leone and Liberia to cut the flow of arms to their war-torn countries,

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and the United States levied sanctions against Sudan and Myanmar (Burma) for human rights violations and against Iran for nuclear proliferation policy violations.[8]

An **embargo**—a comprehensive sanction against all commerce with a given country—may be imposed by countries acting in unison or alone. For example, the United Nations embargoed all trade with Iraq after Iraq's 1990 invasion of Kuwait. Most countries embargoed goods to or from South Africa during the 1980s to protest its apartheid policies. The United States has unilaterally embargoed trade with Cuba since 1960, after the Cuban government nationalized three American-owned oil refineries without compensating their owners.

A particularly important form of export control involves high-technology goods. Many technologically advanced countries limit the export of so-called **dual-use** products that may be used for both civilian and military purposes. McDonnell Douglas ran afoul of U.S. dual-use controls when it sold sophisticated machine tools to the China National Aero-Technology Import and Export Company, which claimed that the equipment would be used to build civilian aircraft. However, the tools were instead shipped to a military factory that builds ballistic and cruise missiles.[9] Similarly, Boeing agreed to pay a $15 million fine because it sold China 94 commercial airliners whose avionics systems contained a tiny gyrochip that could be used to guide air-to-surface missiles, without receiving an export license, in violation of the Arms Control Export Act.[10]

Countries may also attempt to regulate business activities that are conducted outside their borders, a practice known as **extraterritoriality**. For example, firms are vulnerable to U.S. antitrust lawsuits if they engage in activities outside the United States that diminish competition in the U.S. market. In one such case the United States successfully sued Pilkington PLC, the British owner of the most important patents for producing flat glass, for limiting the ability of its U.S. licensees to use the technology in international markets. U.S. authorities claimed that Pilkington's policies hurt U.S. exports and reduced the incentive of U.S. flat glass producers to invest in research and development, thereby lessening competition.[11]

Antiboycott provisions in U.S. trade law also have extraterritorial reach. U.S. antiboycott law prohibits U.S. firms from complying with any boycott ordered by a foreign country that prohibits trade with a country friendly to the United States. This law is primarily directed against a 1954 resolution adopted by the League of Arab States that calls for a boycott of any firm that does business with Israel. Baxter International found itself in deep trouble after a U.S. grand jury investigated it for selling discounted hospital supplies to Syria, allegedly as a bribe for the Arab states terminating their boycott of the company. Baxter pleaded guilty to violating the antiboycott law and paid a fine of $6.6 million.[12]

Laws Directed against Foreign Firms

On other occasions countries may pass laws that are explicitly directed against foreign-owned firms. Ownership issues are a particular area of concern. In most countries there is ongoing debate between the political left and right regarding the appropriate balance between governmental control of the economy and reliance on market forces to allocate resources. Often when leftist governments obtain power, they choose to transfer ownership of resources from the private to the public sector, a process known as **nationalization**. Most vulnerable to such actions are industries that lack mobility: natural resource industries such as crude oil production and mining, and capital-intensive industries such as steel, chemicals, and oil refining. For example, in 2018, Djibouti took over control of a container port partially owned by Dubai's DP World to protect "the interests of the Djiboutian nation." Similarly, a decade earlier, Hugo Chávez, the then president of Venezuela, nationalized the steel and cement industries on grounds that they constituted "strategic sectors" of the economy. He had previously nationalized private firms in the oil, power, and telecommunications industries.[13]

When the host government compensates the private owners for their losses, the transfer is called **expropriation**. When the host government offers no compensation, the transfer is called **confiscation**. Most governments, including that of the United States, recognize the right of other national governments to mandate the transfer of private property within their borders to the public sector, although nonhost governments do expect that foreign owners will receive suitable compensation for their lost property. For example, many Arab oil-producing countries nationalized the properties of Western oil firms after 1973. These countries, however, offered the Western firms a combination of compensation, continuing operating agreements, and future drilling rights that the

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firms found acceptable. Conversely, a key element in the U.S. conflict with Cuba is Cuba's lack of compensation for assets seized from U.S. firms.

PRIVATIZATION The conversion of state-owned property to privately owned property is called **privatization**. Although not strictly an issue of host country control, privatization is the opposite of nationalization and creates opportunities for international businesses. Most state-owned enterprises sold to the private sector are unprofitable, undercapitalized, and overstaffed. Nevertheless, they are often attractive to international businesses seeking to expand their operations into new markets located in key sectors of a national economy, such as telecommunications, transportation, and manufacturing.

Privatization, which gained momentum in the 1980s, stems from two primary forces: political ideology and economic pressure. Political ideology prompted Margaret Thatcher, the prime minister of the United Kingdom from 1979 to 1990, to call for diminishing the role of the state in the economy. During the 1980s the British government sold its interests in British Airways, British Telecom, the British Airport Authority, and British Petroleum. Brian Mulroney, head of Canada's Progressive Conservative Party, followed a similar agenda during his tenure as Canada's prime minister from 1984 to 1993, as did the leaders of Argentina, Brazil, Chile, Mexico, and many other countries during the 1990s.

Privatization has also resulted from competitive pressures that firms face in global markets. The telecommunications industry provides a perfect example of this phenomenon. That industry has benefited from rapid technological change, yet many national governments, facing enormous budgetary pressures and deficits, have found it difficult to raise the capital required to upgrade and expand state-owned telecommunications systems. As a result, countries such as Argentina, Mexico, Chile, and the United Kingdom have privatized telecommunications services.

CONSTRAINTS ON FOREIGN OWNERSHIP Many governments limit foreign ownership of domestic firms to avoid having their economies or key industries controlled by foreigners. For example, foreigners may own no more than 49 percent of Chinese telecommunication service providers and only 40 percent of such companies in the Philippines.[14] For many decades, Mexico restricted foreign ownership in its energy industry, believing that the benefits of its oil reserves, which it viewed as part of its "national patrimony," should accrue only to its citizens. Canada reviews foreign investments in industries like telecommunications, broadcasting, and newspaper publishing as part of its program to protect the country's culture from being inundated by its neighbor to the south. Foreign firms are often excluded from the radio and television broadcasting industries. For example, the United States limits foreigners to 25 percent ownership of U.S. television and radio stations, while the foreign ownership limit is 20 percent in South Africa. Similar rules exist in Europe.

Countries can also constrain foreign multinational corporations (MNCs) by imposing restrictions on their ability to **repatriate** (return to their home countries) the profits earned in the host country. Controls on repatriation are common among countries facing foreign exchange crises. Angola and Venezuela, for instance, currently restrict the ability of foreign firms to repatriate profits in hopes of sustaining their dwindling supplies of foreign exchange.[15]

The Impacts of MNCs on Host Countries

Firms establishing operations beyond the borders of their home country affect and are affected by the political, economic, social, and cultural environments of the host countries in which the firms operate. To compete effectively in these markets and maintain productive relationships with the governments of the host countries, managers of MNCs must recognize how they and their firms should interact with the national and local environments.

ECONOMIC AND POLITICAL IMPACTS MNCs affect every local economy in which they compete and operate. Many of the effects are positive. For instance, as Western supermarket chains such as France's Carrefour enter the Chinese market, they offer Chinese consumers greater selection, national brands, and high standards of hygiene. MNCs may make direct investments in new plants and factories, thereby creating local jobs. Such investments provide work for local contractors, builders, and suppliers. MNCs also pay taxes, which benefit the local economy and help to improve educational, transportation, and other municipal services. Technology transfer can also have positive local effects. An important benefit to the Shanghai Automotive Industry Corporation of its joint venture with Volkswagen was access to the latest German automotive technology.

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Similarly, General Electric raised the productivity of Hungary's largest lightbulb manufacturer by transferring technological knowledge to the Hungarian firm.

MNCs may also have negative effects on the local economy. To the extent that MNCs compete directly with local firms, the MNCs may cause these firms to lose both jobs and profits. For instance, Carrefour's entry into the Chinese market makes it more difficult for mom-and-pop operators in China's open-air food markets to eke out a living.[16] Also, as a local economy becomes more dependent on the economic health of an MNC, the financial fortunes of the firm take on increasing significance. When retrenchment by an MNC is accompanied by layoffs, cutbacks, or a total shutdown of local operations, the effects can be devastating to a local economy.

MNCs also may have a significant political impact, either intentionally or unintentionally. Their sheer size often gives them tremendous power in each country in which they operate. Furthermore, there is always the possibility that this power may be misused. Even when it is not, MNCs are often able to counter efforts by host governments to restrict their activities. The MNCs simply threaten to shift production and jobs to other locations.

CULTURAL IMPACTS MNCs also can exert a major influence on the cultures in which they operate. As they raise local standards of living and introduce new products and services previously unavailable, people in the host cultures develop new norms, standards, and behaviors. Some of these changes are positive, such as the introduction of safer equipment and machinery, better health care and pharmaceuticals, and purer and more sanitary food products. Other changes are not positive. Nestlé, for example, has received much criticism for its promotion of infant formula in the world's developing countries. Mothers in these countries were allegedly enticed into buying the formula but were not trained in its proper use. The mothers diluted the formula to make it go further and often were unable to follow adequate sanitation procedures. As a result, critics argue, infant mortality in these countries increased significantly. Similarly, the introduction of heavily sugared or salted snack foods into emerging markets can contribute to obesity and high blood pressure among the local populations.

Dispute Resolution in International Business

Disputes in international commerce can be complicated. Typically, four questions must be answered for an international dispute to be resolved:

1. Which country's law applies?
2. In which country should the issue be resolved?

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The entry of Western retailers like Carrefour into the Chinese market has increased the selection and quality of goods available to the country's consumers. But competition from foreign MNCs makes it harder for mom-and-pop vendors in China's open-air markets to stay in business.

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In Practice

- Laws and legal systems vary widely among the nations of the world. Savvy international business practitioners always seek local counsel to help them navigate the requirements of the host country's laws.
- Because the Internet so easily spans national boundaries, e-commerce is particularly vulnerable to inadvertently violating local laws.

For further consideration: The Internet transcends national borders. Who should be responsible for the protection of consumers' cyber privacy?

The Technological Environment

3.2. Describe the impact of the host country's technological environment on international business.

Another important dimension of a country is its technological environment. The foundation of a country's technological environment is its resource base. Some countries, such as Australia, Argentina, and Thailand, are blessed with much fertile agricultural land. Other countries, like Saudi Arabia, South Africa, and Russia, are endowed with rich natural resources such as oil, gold, and diamonds. Countries like Bangladesh and Indonesia have abundant labor supplies, whereas other countries, such as Iceland and New Zealand, do not. The availability or unavailability of resources affects what products are made in a given country. Because of their abundance of fertile land, Australia, Argentina, and Thailand are major exporters of agricultural goods. Similarly, the easy availability of low-cost labor allows firms in Bangladesh and Indonesia to produce labor-intensive products for the world market. Conversely, firms in Iceland and New Zealand are net importers of such products because these firms lack low-cost labor, which hinders their ability to manufacture labor-intensive goods profitably.

Countries may change or shape their technological environments through investments. Many countries, such as Canada, Germany, and Japan, have invested heavily in their infrastructures—highways, communications systems, waterworks, and so forth—to make producing and distributing products easier. Similarly, many countries have invested heavily in human capital. By improving the knowledge and skills of their citizens, countries improve the productivity and efficiency of their workforces. Investments in infrastructure and human capital have allowed developed countries to continue prospering in world markets despite the high wages paid to workers in those countries.

Another means for altering a country's technological environment is **technology transfer**, the transmittal of technology from one country to another. Some countries have promoted technology transfer by encouraging FDI. For instance, Hungary and Poland jump-started their transition from communism to capitalism by using tax and other incentives to entice firms such as General Electric and General Motors to build new factories there. Other countries have improved their technological base by requiring companies eager to access a country's resources or consumers to transfer technology as a condition for operating in that country. Saudi Arabia, for example, mandated that oil companies wishing to extract its crude oil hire and train Saudi petroleum engineers, who then learned state-of-the-art exploration and extraction methods on the job. Similarly, the Chinese government approved General Motors' request to build Buicks in Shanghai only after GM agreed to establish five research institutes in China that would train Chinese engineers and advance China's technological know-how in such areas as fuel injection systems and power trains. However, China's aggressive technology transfer mandates are becoming a source of controversy, as "Venturing Abroad" discusses.

An important determinant of a country's technological environment—and the willingness of foreign firms to transfer technology to the country—is the degree of protection that its laws offer to intellectual property rights. Intellectual property—patents, copyrights, trademarks, brand names, and so forth—is an important asset of most MNCs. It often forms the basis of a firm's competitive advantage or core competency in the global marketplace. The value of intellectual property can quickly be damaged unless countries enforce ownership rights of firms. Countries that provide weak protection for intellectual property are less likely to attract technology-intensive foreign investments. Weak intellectual property protection also discourages local firms from developing intellectual property of their own.

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The Political Environment

3.3. Explain how firms can protect themselves from political risk.

An important part of any business decision is assessing the political environment in which a firm operates. Laws and regulations passed by any level of government can affect the viability of a firm's operations in the host country. Minimum-wage laws affect the price a firm must pay for labor; zoning regulations affect the way it can use its property; and environmental protection laws affect the production technology it can use as well as the costs of disposing of waste materials. Adverse changes in tax laws can slowly destroy a firm's profitability. Civil wars, assassinations, or kidnappings of foreign businesspeople and expropriation of a firm's property are equally dangerous to the viability of a firm's foreign operations.

Political Risk

Most firms are comfortable assessing the political climates in their home countries. However, assessing the political climates in other countries is far more problematic. Experienced international businesses engage in **political risk assessment**, a systematic analysis of the political risks they face in foreign countries. **Political risks** are any changes in the political environment that may adversely affect the value of a firm's business activities. Most political risks can be divided into three categories:

- Ownership risk, in which the property of a firm is threatened through confiscation or expropriation
- Operating risk, in which the ongoing operations of a firm or the safety of its employees are threatened through changes in laws, environmental standards, tax codes, terrorism, armed insurrection, and so forth
- Transfer risk, in which the government interferes with a firm's ability to shift funds into and out of the country

As Table 3.2 shows, political risks may result from governmental actions, such as passage of laws that expropriate private property, raise operating costs, devalue the currency, or constrain

TABLE 3.2 Examples of Political Risks

Type	Impact on Firms
Expropriation	Loss of future profits
Confiscation	Loss of assets
	Loss of future profits
Campaigns against foreign goods	Loss of sales
	Increased costs of public relations efforts to improve public image
Mandatory labor benefits legislation	Increased operating costs
Kidnappings, terrorist threats, and other forms of violence	Disrupted production
	Increased security costs
	Increased managerial costs
	Lower productivity
Civil wars	Destruction of property
	Lost sales
	Disruption of production
	Increased security costs
	Lower productivity
Inflation	Higher operating costs
Repatriation	Inability to transfer funds freely
Currency devaluations	Reduced value of repatriated earnings
Increased taxation	Lower after-tax profits

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